

Question 1: According to the Volatility Options framework, what specific question must be asked when reviewing a business's Working Capital?

Answer: How should we finance and manage the money to cope with the 'swings'?

Key Point: Reviewing Working Capital is a critical local 'WHAT-HOW' step used to solve volatility-related issues and ensure the business can handle fluctuations in cash flow.

Question 2: What analogy is used to explain to clients the danger of struggling with high cash volatility?

Answer: It is like driving a vehicle with a trailer or caravan that gets the 'speed wobbles' or 'fishtail' effect, dragging the leading vehicle from side to side.

Key Point: A business cannot progress safely until its balance issues are dealt with; systems that reduce cash volatility must be addressed before attempting to grow.

Question 3: What are three specific business scenarios where a cash volatility graph should NOT be used with a client?

Answer: 1) Businesses that receive semi-regular government subsidies (like childcare centers), 2) Businesses supplying a co-operative or vertical distributor that sets price/yield limits, and 3) Businesses that have a known singular seasonal high-impact event (like an annual product release).

Key Point: Cash volatility graphs are ineffective for businesses with externally predetermined constraints or highly predictable singular cash flow events.

Question 4: In Volatility Analysis, what distinguishes a "Special Cause" from a "Common Cause"?

Answer: A "Special Cause" is Low Frequency and High Impact (e.g., an earthquake or pandemic), whereas a "Common Cause" is High Frequency and Low Impact (e.g., a rainy day for a retail store).

Key Point: Accurately categorizing the cause of data volatility is essential to ensure the information is consistent with business assumptions and to avoid tampering or data misinterpretation.

Question 5: When advising a business on solving volatility-related issues, what is the core objective of reviewing their administrative procedures?

Answer: To determine how the business could get the money in quicker.

Key Point: Improving the speed of administrative cash collection is a primary tactic for stabilizing cash flow alongside adjusting products, marketing, and working capital.

Question 6: What are the three required steps for effectively revealing the Growth Curve framework to a client?

Answer: 1) Global Positioning of the Growth Curve, 2) Revealing the Growth Curve via a Persona (to ensure talking in the 3rd person and create dissociation), and 3) Creating Client Relevance to the Curve.

Key Point: By introducing the 9 stages of business growth through a persona (like "Bob the Chocolate maker"), the advisor can help the client anticipate issues objectively BEFORE they have to cope with them.

Question 7: What are the two 'Attention Hooks' utilized in the EOY Meeting structure to capture the client's focus?

Answer: The GLOBAL REFERENCE (Option 1: Growth Curve) and the LOCAL REFERENCE (Option 2: Volatility Analysis).

Key Point: The Growth Curve provides a Macro Vision ("Where am I going?"), while Volatility Analysis provides a Micro Vision ("What's happening to me right now?").

Question 8: What are the five core components of the EOY Meeting Agenda timeline?

Answer: Review Accts, Review Growth Curve Position, Review Volatility, Start/Stop/Keep, and Q&A.

Key Point: Following a structured timeline ensures a comprehensive advisory meeting that transitions systematically from immediate account reviews to strategic growth and behavioral changes.

Question 9: What opening phrase is recommended as the psychological bridge to transition a client from the 'Personal Zone' to the 'Business Zone'?

Answer: "How're you going for time today?...".

Key Point: Establishing the timeframe immediately sets up a framing structure that allows the advisor to subsequently assume permission, take control of the accounts review, and share power via feedback.

Question 10: Within the "Start, Stop, Keep" automated action plan, what is provided as an example of an action a manager must "Stop Doing"?

Answer: "I must stop interfering with the middle manager's instructions – if they delegate a job – I have to 'get out of the way'".

Key Point: The "Start, Stop, Keep" framework requires business owners to explicitly identify and record behavioral changes necessary to support their operational goals.